Cost Principles for Non-Profit Organizations

2 CFR 200 Subpart E

Applicability by Type of Organization

- FAR Subpart 31.2, Contracts with Commercial Organizations
  - Cost Principles for contracts and subcontracts with commercial organizations
- FAR Subpart 31.3. Educational Institutions
- FAR Subpart 31.7 Non-Profit Organizations
  - 2 CFR Part 200 Subpart E

General Requirements

Allowability – 2 CFR 200.403

Factors for Determining Allowability

"A Cost is allowable only when the cost complies with all the following requirements"

- Reasonable
- Necessary for the Performance of the Award
- Allocable to the award/contract
- Accorded Consistent Treatment
- Consistent with the policies and procedures **that apply uniformly to both federal and non federal financed activities**
- Complies with standards promulgated by the CAS Board, if applicable, GAAP and practices appropriate to the circumstances
- Consistent with the terms of the award
- Not limited by 2 CFR 200 Subpart E
- Not included as a cost to meet cost share requirement
- Adequately documented

Reasonableness – 2 CFR 200.404

- Factors for Determining Reasonableness:
  - Nature and amount incurred by a prudent person under the circumstances prevailing **at the time the decision to incur costs was made**
  - Generally recognized as ordinary and necessary in performing the award
  - Accepted sound business practices, arm's length bargaining and laws and regulations
  - Market Prices for comparable goods or services for the geographic area
  - Recipient's responsibility to the entity, its employees and the Federal Government
  - Significant deviations from established practices and policies
- The factors need to be looked at together in making reasonableness determination
- Recipient normally bears the burden of proof IF reasonableness is challenged.

Reasonableness – 2 CFR 200.404

- Subjective standard
  - Boards & Courts will consider all the factors and circumstances which existed at the time the cost was incurred
  - Evidence of recipient's practices may be used to establish reasonableness
- FAR standard: Contractor bears burden of proof

Reasonableness – 2 CFR 200.404

- Standard is *not perfection*
  - Simple negligence
    - ***Morton-Thiokol, Inc.* ASBCA 3229, 90-3 BCA ¶ 23,207**
      - Contractor's employees ordered wrong railroad ties
      - Board found it to be "careless mistake, at most" with nothing to suggest that the contractor was frequently careless in ordering
      - Government failed to stablish a "high degree of misconduct"
  - Unsuccessful outcome
    - ***Marquardt Aircraft Co.,* ASBCA 1587 57-2 BCA ¶ 1467**
      - Costs to rent equipment reasonable and recoverable even though purchasing equipment could have lowered the costs

Allocability – 2 CFR 200.405

- Factors for Determining Allocability:

  "A Cost is allocable if the goods or services involved are chargeable or assignable to that Federal award or cost objective in accordance with relative benefits received". This standard is met when the cost:

  – Is incurred specifically for the Federal award
  – Benefits both the Federal award and other non-Federal work and can be distributed in proportions that may be approximated using reasonable methods
  – Is necessary to the overall operations of the entity and is assignable to the award
  – All activities which benefit from indirects will receive an appropriate allocation of indirects
  – If not allocable to a particular award, can not be charged to other Federal awards to overcome fund deficiencies or other reasons unless allowable under two or more awards and need to be shifted
  – Direct cost allocation – if allocable to two or more projects – cost must be allocated based on proportionate benefit. If proportions can not be determined – may be allocated on any reasonable documented basis.

- If subject to CAS, costs must be allocated pursuant to CAS. CAS takes precedence

Applicable Credits – 2 CFR 200.405

- Applicable credits :
  - purchase discounts
  - rebates or allowances
  - recoveries or indemnities on losses
  - insurance refunds or rebates and
  - adjustments of overpayments or erroneous charges.
- Must be credited to the Federal award either as a cost reduction or cash refund

Terms of the Award

- Award terms may control allocation of certain costs
- Some costs are made completely unallowable by specific cost principles, other cost principles provide limitations to cost allowability

Prior Approval 2 CFR 200.407

- In order to avoid subsequent disallowance or dispute based on unreasonableness or un-allocability, you may seek prior approval.
  - Approval should include timeframe or scope of approval agreement
  - Agreement Officer CAN NOT allow costs unallowable by the Cost Principles.

Prior Approval 2 CFR 200.407

- The absence of prior approval from the AO will not in itself affect reasonableness or allocability unless prior approval is required in the following sections:

§200.306 Cost sharing or matching;
§200.307 Program income;
§200.308 Revision of budget and program plans (approval of subgrants, contracts and budget changes);
§200.311 Real property;
§200.313 Equipment;
§200.332 Fixed amount subawards;
§200.413 Direct costs, paragraph (c) (approval of admin staff charged directly to program);
§200.431 Compensation—fringe benefits (severance)
§200.438 Entertainment costs;
§200.439 Equipment and other capital expenditures;
§200.440 Exchange rates (fluctuations);
§200.441 Fines, penalties, damages and other settlements;
§200.442 Fund raising and investment management costs;
§200.445 Goods or services for personal use;
§200.447 Insurance and indemnification;
§200.455 Organization costs;
§200.456 Participant support costs;
§200.458 Pre-award costs;
§200.462 Rearrangement and reconversion costs §200.467 Selling and marketing costs;
§200.470 Taxes (including Value Added Tax); and
§200.474 Travel costs (dependents travelling over 6 months in duration)

Unallowable Costs

What Are Unallowable Costs?

- Costs Government Does Not Want to Pay
  - Not considered necessary for Government Work
    - Advertising, Bad debts
  - Matter of Public Policy
    - Charitable Contributions, Alcohol
  - Expressly Unallowable
    - Must be identified and excluded
  - Directly Associated Costs
  - Mutually agreed to be Unallowable Costs (e.g. costs named or stated to be unallowable in the award)

Recipients are obligated to remove unallowable costs from billings, claims or proposals submitted to the government.

Identification of Unallowable Costs

- Point of Entry
  - Expressly unallowable
  - Mutually agreed to be unallowable
  - Directly associated costs
- Statistical sampling
- After the fact

Identification of Unallowable Costs

- Statistical sampling is an acceptable practice to identify and segregate unallowable costs if:
  - Sample is unbiased and a reasonable representation of the universe
  - Large dollar value/high risk transactions are separately reviewed and excluded from sampling process
  - Method permits audit verification
- Use of statistical sampling should be subject to an advance agreement
  - In absence of advance agreement, recipient bears burden of proof to demonstrate sampling methodology meets above criteria.
  - DCAA EZ-Quant software used fro statistical sampling: http:www.dcaa.mil/ez_quant_applications.html

Identification of Unallowable Costs

CAS 405 distinguishes between different types of unallowable costs:

- (1) expressly unallowable costs,
- (2) costs mutually agreed to be unallowable, (3) unallowable directly associated costs,
- (4) costs designated by the contracting officer as unallowable, and
- (5) costs that are not contractually authorized

Expressly Unallowable Costs

- **Although the treatment & penalties are different under grants, it would apply under contracts implemented by non-profit organizations**
- Penalties assessed for indirect costs are the main issue (for amounts less $10,000 (cumulative))
- An Expressly unallowable cost is defined at 31.001 as a "particular item or type of cost which, under the express provisions of an applicable law, regulation, or contract, is specifically named and stated to be unallowable."
- Examples of costs expressly unallowable in FAR 31.205 include:

Cost Principles	Description
2 CFR 200.426 Bad Debts	Uncollectable account receivables
2 CFR 200.438 Entertainment Costs	Amusements, Diversions & social activity
2 CFR 200.441 Fines & Penalties	Violations of government laws & regs
2 CFR 200.455 Organization Costs	Planning or executing organization or reorganization of the corporate structure
2 CFR 200.423 Alcoholic Beverages	Beer, Wine, Cocktails etc.

Penalties for Unallowable Indirect Costs

Although the treatment & penalties are different under grants, it would apply under contracts implemented by non-profit organizations

FAR 42.709-1 General

- Level 1 penalties:
  - If indirect cost is expressly unallowable under a FAR cost principle (or AIDAR), penalty is:
    - Amount of disallowed costs + interest on paid portion
- Level 2 penalties:
  - If indirect cost was previously determined for the contractor to be unallowable penalty is:
    - Two times the amount of disallowed costs + interest on paid portion

Its not necessary for the cost to have been paid by the Government.

Record Keeping Requirements

Under Contracts:

- FAR 31.201-2 (d) states:
  - *"A contractor is responsible for accounting for costs appropriately and for maintaining records, including supporting documentation, adequate to demonstrate that costs claimed have been incurred, are allocable to the contract, and comply with applicable cost principles in this subpart and agency supplements. The contracting officer may disallow all or part of a claimed cost that is inadequately supported."*
- FAR 52.215-2, Audit & Records – Negotiation
  - *(b) "… the Contractor shall maintain and the Contracting Officer, or an authorized representative of the Contracting Officer, shall have the right to examine and audit all records and other evidence sufficient to reflect properly all costs claimed to have been incurred or anticipated to be incurred directly or indirectly in performance of this contract. This right of examination shall include inspection at all reasonable times of the Contractor's plants, or parts of them, engaged in performing the contract."*

Record Keeping Requirements

FAR 4.703 Contractor Records Retention Policy, requires contractors to make available records and other supporting evidence to satisfy contract negotiation, administration and audit requirements of the contracting agencies and the Comptroller General for **3 years** after final payment, or, for certain records the period specified in FAR 4.705-4.705-3, whichever of these periods expires first.

- *4.705 Financial and Cost Accounting Records*
- *4.705-2 Pay administration records*
- *4.705-3 Acquisition and supply records*

- If Contractor's policy for retention is longer time, the 3 year limit after final payment applies for review by the Government (*compare with non-profit requirements – next slide*)

Record Keeping Requirements

Under Grants & Cooperative Agreements

- **§200.333 Retention requirements for records.**
- Financial records, supporting documents, statistical records, and all other records pertinent to a Federal award must be retained for a period of **three years from the date of submission of the final expenditure report** ….Federal awarding agencies …must not impose any other record retention requirements upon non-Federal entities. The only exceptions are the following:
- (a) If any litigation, claim, or audit is started before the expiration of the 3-year period, the records must be retained until all litigation, claims, or audit findings involving the records have been resolved and final action taken.
- (b) When the non-Federal entity is notified in writing by the Federal awarding agency, cognizant agency for audit, oversight agency for audit, cognizant agency for indirect costs, or pass-through entity to extend the retention period.
- (c) Records for real property and equipment acquired with Federal funds must be retained for 3 years **after final disposition.**
- (d) When records are transferred to or maintained by the Federal awarding agency or pass-through entity, the 3-year retention requirement is not applicable to the non-Federal entity.

Record Keeping Requirements

Under Grants & Cooperative Agreements continued:

- **2 CFR 200.335**
  - Executive Order 2013 - whenever practicable, collect, transmit, and store Federal award-related information in open and machine readable formats rather than in closed formats or on paper.
  - When original records are electronic and cannot be altered, there is no need to create and retain paper copies.
  - When original records are paper, electronic versions may be substituted through the use of duplication or other forms of electronic media provided that they are subject to periodic quality control reviews, provide reasonable safeguards against alteration, and remain readable.
- **2 CFR 200.336 Access to records.**
  - (c) Expiration of right of access. The rights of access in this section are not limited to the required retention period but last as long as the records are retained. Must **not impose any other** access requirements upon non-Federal entities.

Selected Areas of Cost

2 CFR 200.421 Advertising & Public Relations

- Allowable Costs include:
  - Recruiting – “Help Wanted” advertising
  - Necessary to meet the requirements of award (program outreach etc.)
  - Procurement of Goods and Services for the performance of award
  - Responding to inquiries on company policies and activities
  - Communication with public, press, stockholders on matters of public concern
  - Communication with public or press pertaining to specific activities or accomplishments which result from performance of award

2 CFR 200.421 Advertising & Public Relations

- Unallowable Costs include:
  - Meetings, conventions and other events related to other activities of the entity, including:
    - Costs of displays, demonstrations, and exhibits;
    - Costs of meeting rooms, hospitality suites, and other special facilities used in conjunction with shows and other special events; and
    - Salaries and wages of employees (and associated fringe) engaged in setting up and displaying exhibits, making demonstrations, and providing briefings;
    - Costs of promotional items and memorabilia, including models, gifts, and souvenirs;
    - Costs of advertising and public relations designed solely to promote the entity.

2 CFR 200.426 Bad Debts

- Bad debts (debts which have been determined to be uncollectable), including losses (whether actual or estimated) arising from uncollectable accounts and other claims, are unallowable.
- Collection costs
  - Cost of trying to collect uncollectable debt are unallowable
  - Collection costs of debts that are ultimately paid are allowable
  - "Collection expense incurred in the normal course of business."

2 CFR 200.430 Compensation for Personal Services

- Compensation for personal services costs include all remuneration, paid currently or accrued are allowable to the extent that the total compensation for individual employees:
- (1) Must be reasonable for the work performed;
- (2) Must be based on the terms and conditions of established compensation plan or practice consistently followed
- Must not be otherwise unallowable
- Must be supported per this cost principle paragraph (i)

2 CFR 200.430 Compensation for Personal Services

- Compensation is **reasonable** for work performed based on comparisons to:
  - Firms of the same size
  - Firms in the same industry
  - Firms in the same geographic area
  - Firms engaged in similar non-Government work in comparable circumstance
- Recipient bears responsibility to substantiate reasonableness

2 CFR 200.430 Compensation for Personal Services

- Compensation includes:
  - Salaries or wages
  - Fringe Benefits
  - Bonus and Incentive Comp
  - Severance
  - Pension Plans
  - Other

2 CFR 200.430 Compensation for Personal Services

- Severance for Foreign Nationals
  - Must have prior approval of the agency
  - Must be in accordance with the law
  - Term of the award

- Salary Matrix Practice Point: best to have one salary band matrix and allow for different COLA differentials for each location (US)

2 CFR 200.437 Employee Health and Welfare

- Activities designed to improve working conditions, employer-employee relations, morale and performance
- Allowable costs can include:
  - House publications
  - Health clinics and wellness/fitness centers
  - Company sponsored sport teams
  - Employee counseling services
- Unallowable costs include:
  - Gifts to employees (except years of service recognition awards)
  - Tickets to sporting events and most recreation costs
  - Distinguish between allowable “employee health and welfare” costs and unallowable “entertainment” costs

2 CFR 200.438 Entertainment Costs

- Unallowable- cost of amusement diversion and social activities and any directly associated costs, such as tickets to shows, sports events, meals, lodging, rentals, transportation and gratuities
- Costs of membership in social, dining and country clubs are unallowable
- Exception: when has a programmatic purpose and are authorized in the approved budget of the award or with prior written approval of the agency

Remember …. If it's fun, it's probably unallowable

2 CFR 200.438 Entertainment Costs

- Social “business lunch” = unallowable
- Lunch and dinner meetings to discuss business = probably allowable if reasonable (modest amounts, meetings not excessive in number)
- Coffee/Water for Office = if reasonable should be allowable

2 CFR 200.441 Fines, Penalties, Damages & Other Settlements

- Costs resulting from non-Federal entity violations of, alleged violations of, or failure to comply with, Federal, state, tribal, local or **foreign laws** and regulations are unallowable, except when incurred as a result of compliance with specific provisions of the Federal award, or with prior written approval of the Federal awarding agency.
- Costs incurred in connection with the mischarging of costs on Government awards are unallowable (e.g. costs to determine magnitude of improper charging and correct mischarging)

2 CFR 200.439 Equipment

- Equipment – items with life expectancy of one year or more and acquisition cost (inc. installation) of $5,000 or more requires prior approval of the agency for directly charged costs

2 CFR 200.445 Goods or Services for Personal Use

- a) Costs of goods or services for personal use of the entity's employees **are unallowable** regardless of whether the cost is reported as taxable income to the employees.
- (b) Costs of housing (e.g., depreciation, maintenance, utilities, furnishings, rent), housing allowances and personal living expenses are only allowable as **direct costs** regardless of whether reported as taxable income to the employees. In addition, **to be allowable direct costs must be approved in advance by a Federal awarding agency.**

2 CFR 200.447 Insurance and Indemnification

- Costs of insurance required or approved and maintained, pursuant to the Federal award, are allowable.
- Costs of other insurance in connection with the general conduct of activities are allowable subject to the following limitations:
  - Types and extent and cost of coverage are in accordance with the non-Federal entity's policy and sound business practice.
  - Costs of insurance or of contributions to **any reserve covering the risk of loss of, or damage to, Federal Government property** are unallowable except to the extent that the Federal awarding agency has specifically required or approved such costs.
  - Costs allowed for business interruption or other similar insurance must exclude coverage of management fees

Actual losses which could have been covered by permissible insurance are unallowable, unless expressly provided for in the Federal award. However, **costs incurred because of losses not covered under nominal deductible insurance coverage** provided in keeping with sound management practice, and **minor losses not covered by insurance, such as spoilage, breakage, and disappearance of small hand tools**, which occur in the ordinary course of operations, **are allowable.**

2 CFR 200.450 Lobbying

- Generally makes unallowable all forms of lobbying activities, including:
  - Attempts to influence legislators, executive branch personnel and the general public
  - Legislative liaison activities to facilitate lobbying
  - Political Contributions and Fundraising

- Exceptions
  - Providing technical or factual information directly related to award performance to Congress or a legislative body in response to documented request
  - Lobbying state or local legislature to reduce award costs or avoid material impairment of award performance
  - Lobbying authorized by statute to be done with award funds

2 CFR 200.450 Lobbying

- Focusing more on costs associated with lobbying efforts to pursue Congressional earmarks
- DCAA and other auditors instructed to look not only at company executives or hired lobbyists, but also program management, contracting, public relations, consultants and technical personnel
- Advises auditors to be alert to lobbying efforts ascertaining the purpose of travel and meetings in documentation.

2 CFR 200.435 Legal & Expert Defense Costs

- Broad definitions
  - "Costs" = both in-house and external
  - "Proceedings" = includes investigation
- Applies only to "proceedings" brought by
  - Federal, state, local, or **foreign government** for violation of, or a failure to comply with, law or regulation by the contractor/recipient (including its agents and employees)
  - Qui tam relator under False Claims Act
  - Allowability depends on disposition

2 CFR 200.435 Legal & Expert Defense Costs

- Costs incurred in connection with any proceeding brought by Federal, state, local, or **foreign government** for violation of, or a failure to comply with, law or regulation are **unallowable** if:
  - The proceeding results in criminal conviction
  - The contractor/recipient is found liable
  - The contractor/recipient is debarred or suspended
  - Contract/Award is voided, rescinded, or terminated for default
  - Disposition by consent or compromise IF the proceeding COULD HAVE resulted in any of the above.
- Costs determined to be allowable may only be allowable up to 80%

2 CFR 200.435 Legal & Expert Defense Costs

- Unallowable proceedings regardless of outcome include:
  - Defense against Federal Government claims or appeals
  - Organization, reorganization, or resisting mergers & acquisitions
  - Defense of anti-trust suits
  - Defense of suits brought by employees under the Major Fraud Act of 1988 (contractor found liable or settled)
  - Patent infringement litigation
- Potentially unallowable costs must be segregated and accounted for separately pending outcome

Affiliate Costs

- FAR standard (Cost of Materials 31.205-26)
- Transfers between affiliates assumed not to be at arm's length
- Transfers should be at cost, unless:
- There is established practice to price transfers for commercial work of the contractor (or affiliate) at other than cost (i.e. price); and the transfer is based on:
  - Adequate Price Competition
  - Price is set by law or regulation or a
  - Commercial Item; and
  - The price has **not** been determined to be unreasonable by the contracting/agreement officer

Intercompany transfers are likely to be scrutinized to ensure no pyramiding or profit or indirects

2 CFR 200.317 (c)(2) Affiliate OCI Under Procurement Transactions

- Requires Written Standards of Conduct covering organizational conflicts of interest affecting affiliates or subsidiaries.(OCI)
- OCI is defined as not being able or appearing not to be able to be impartial in conducting a procurement action involving a related organization.
- Procurement of common goods or shared services under inter-entity agreements are encouraged where economy can be documented (e)
- No instructions on sub-awardees.

2 CFR 200.455 Organization Costs

- Generally Unallowable without approval by the agency, including:
  - Costs of forming or changing corporate structure
  - Incorporation fees, management consultant fees, attorneys, accountants (whether or not employees or not employees)
  - Includes registration, incorporation or licensing in foreign countries where project is established – even though necessary to perform award – GRAY AREA – requires prior agreement/approval

- Allowable:
  - Normal Business Expenses: taxations reports, dues, incidental costs of directors and board meetings
  - Required local annual submissions to tax and other authorities – necessary to perform the contract/award

2 CFR 200.456 Participant Support Costs

- Participant support costs as defined in §200.75 Participant support costs are allowable with the prior approval of the Federal awarding agency.
- *2 CFR 200.75 Participant support costs* means direct costs for items such as stipends or subsistence allowances, travel allowances, and registration fees paid to or on behalf of participants or trainees (but not employees) in connection with conferences, or training projects.

2 CFR 200.458 Pre-Award

Pre-award costs are those incurred prior to the effective date of the Federal award directly **pursuant to the negotiation and in anticipation of the Federal award where such costs are necessary for efficient and timely performance of the scope of work**. Such costs are allowable only to the extent that they would have been allowable if incurred after the date of the Federal award and **only with the written approval of the Federal awarding agency.**

2 CFR 200.456 Professional Service Costs

- Individual Consultants & Consulting Firms, Accountants, Legal Assistance
- No single factor or any special combination of factors is necessarily determinative. However, the following factors are relevant:
  - The nature and scope of the service rendered in relation to the service required.
  - The necessity of contracting for the service
  - The past pattern of such costs, particularly in the years prior to Federal awards.
  - The impact of Federal awards on the non-Federal entity's business (i.e., what new problems have arisen).
  - Whether the service can be performed more economically by direct employment rather than contracting.
  - The qualifications of the individual or company rendering the service and the customary fees charged, especially on non-federally funded activities.
  - Adequacy of the contractual agreement for the service (e.g., description of the service, estimate of time required, rate of compensation, and termination provisions).
- In addition to the factors above, retainer fees must be supported by evidence of bona fide services available or rendered.

2 CFR 200.460 Proposal Costs

- Proposal costs are the costs of preparing bids, proposals, or applications on potential Federal and **non-Federal awards** or projects, including the development of data necessary to support the non-Federal entity's bids or proposals. Proposal costs of the current accounting period of both successful and unsuccessful bids and proposals normally should be treated as indirect (F&A) costs and allocated currently to all activities of the non-Federal entity. No proposal costs of past accounting periods will be allocable to the current period.

2 CFR 200.461 Publication and Printing

- a) Publication costs for electronic and print media, including distribution, promotion, and general handling are allowable. If these costs are not identifiable with a particular cost objective, they should be allocated as indirect costs to all benefiting activities of the non-Federal entity.
- (b) Page charges for professional journal publications are allowable where:
  - The publications report work supported by the Federal Government; and
  - The charges are levied impartially on all items published by the journal, whether or not under a Federal award.

2 CFR 200.463 Recruiting Costs

- Allowable Costs:
  - costs of “help wanted” advertising, operating costs of an employment office necessary to secure and maintain an adequate staff
  - travel costs of employees while engaged in recruiting personnel,
  - travel costs of applicants for interviews for prospective employment,
  - relocation costs incurred incident to recruitment of new employees (subject to refund if resigned for own reasons within 12 months)
- Employment agencies costs can not in excess of standard commercial rates for such services.
- Hiring “Bonus” incurred to attract professional personnel that meet the test of reasonableness and conform with the established practices
- Short-term, travel visa costs (as opposed to longer-term, immigration visas) are generally allowable expenses that may be proposed as a direct cost.

2 CFR 200.464 Relocation Costs of Employees

- **Relocation costs** are costs incident to the permanent change of duty assignment (for an indefinite period or for a stated period of not less than 12 months) of an existing employee or upon recruitment of a new employee.
- Relocation costs are allowable, provided that:
  - (1) The move is for the benefit of the employer.
  - (2) Reimbursement to the employee is in accordance with an established written policy consistently followed by the employer.
  - (3) The reimbursement does not exceed the employee's actual (or reasonably estimated) expenses.
- Allowable relocation costs for current employees are limited to the following:
  - (1) Transportation of the employee, members of his or her immediate family and HHE
  - (2) TQSA
  - (3) Other necessary and reasonable expenses normally incident to relocation, such as the costs of canceling an unexpired lease, transportation of personal property, and purchasing insurance against loss of or damages to personal property. The cost of canceling an unexpired lease is limited to three times the monthly rental.
  - Some are limited by AIDAR under USAID Programs

2 CFR 200.464 Relocation Costs of Employees

- Refunds:
  - When relocation costs for **new employees who have been hired to be charged to a Federal award** and the employee resigns for reasons within the employee's control within 12 months after hire, the entity must refund or credit the Federal Government for its share of the cost. However, the costs of travel to an overseas location must be considered travel costs in accordance if dependents are not permitted at the location for any reason and the costs do not include costs of transporting household goods.

- Unallowable costs:
  - Fees and other costs associated with acquiring a new home.
  - A loss on the sale of a former home.
  - Continuing mortgage principal and interest payments on a home being sold.
  - Income taxes paid by an employee related to reimbursed relocation costs.

2 CFR 200.465 Rental Costs

- Rental costs are allowable to the extent that the rates are reasonable in light of such factors as:
  - rental costs of comparable property, if any;
  - market conditions in the area;
  - alternatives available; and the type, life expectancy, condition, and value of the property leased.
- Rental arrangements should be reviewed periodically to determine if circumstances have changed and other options are available.

2 CFR 200.470 Taxes

- With exception taxes which are required to be paid and which are paid or accrued in accordance with GAAP, are allowable, except for:
  - (i) Taxes from which exemptions are available
  - (ii) Special assessments on land which represent capital improvements, and
  - (iii) Federal income taxes.
- (2) Any refund of taxes, and any payment to the non-Federal entity of interest thereon will be credited either as a cost reduction or cash refund
- **Value Added Tax (VAT)** Foreign taxes charged for the purchase of goods or services that a non-Federal entity is legally required to pay in country is an **allowable expense under Federal awards**.
  - Foreign tax refunds or applicable credits :the extent that such credits accrued received, these costs must be credited to the Federal awarding agency either as costs or cash refunds.

2 CFR 200.471 Termination Costs

Read in conjunction with Termination clause:

Unallowable:

- Items reasonably usable on the non-Federal entity's other work unless the non-Federal entity submits evidence that it would not retain such items at cost without sustaining a loss. Contemporaneous purchases of common items by the non-Federal entity must be regarded as evidence that such items are reasonably usable on the non-Federal entity's other work
- Costs that due to the negligent or willful failure of the non-Federal entity to discontinue

Allowable:

- If, despite all reasonable efforts costs cannot be discontinued immediately
- Rental costs under unexpired leases with restrictions
- Settlement expenses including : Accounting, legal, clerical, and similar costs reasonably necessary for termination proposal and settlement of subawards
- Reasonable costs for the storage, transportation, protection, and disposition of property provided by the Federal Government or acquired or produced for the Federal award.
- Claims under subawards and allocable indirects

2 CFR 200.472 Training

The cost of training and education provided for employee development is allowable.

2 CFR 200.474 Travel Costs

Travel costs - are the expenses for transportation, lodging, subsistence, and related items incurred by employees on official business.

May be charged on an actual cost basis, on a per diem or mileage basis in lieu of actual costs incurred, or on a combination of the two (policy, consistency and total trip)

No more foreign travel approvals

2 CFR 200.474 Travel Costs

Allowable:

- Per Diem – consistent with **written travel policy**
- Temporary dependent care costs above regular during travel to conferences (temporary, consistent with policy and necessary for the award)
- Travel costs for dependents for travel of duration of six months or more (also see AIDAR limitations) – requires agency approval

2 CFR 200.474 Travel Costs

- *Commercial air travel* in excess of the **basic least expensive unrestricted accommodations class offered by commercial airlines** are **unallowable** except when such accommodations would:
  - Require circuitous routing;
  - Require travel during unreasonable hours (USAID defines as 14 hours and no lay over; must report to work)
  - Excessively prolong travel;
  - (Result in additional costs that would offset the transportation savings; or
  - Offer accommodations not reasonably adequate for the traveler's medical needs.
- The non-Federal entity must justify and document these conditions on a case-by-case basis in order for the use of first-class or business-class airfare to be allowable in such cases.

Questions

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Thank you.